MAHATMA GANDHI UNIVERSITY MGUGP (HONOURS) FIRST SEMESTER EXAMINATION (2024 ADMISSION ONWARDS) Model Question Paper

MG4DSECOM200- ADVANCED ACCOUNTING

Duration: 2-hour Maximum marks: 70

Students should attend at least one question from each course outcome to enhance their overall outcome attainability

Section A

Attempt any Twelve questions. Each question carries 1 mark.

1.Explain the term Life Assurance Fund? (Understand, CO1)

2.What is Purchase Consideration? (Remember, CO2)

3.What is the name of the format prescribed for Bank Balance sheet? (Remember, CO3)

4.Explain Tier 1 Capital? (Understand, CO4)

5.What is Surrender Value? (Remember, CO1)

6.Who is a Transferor Company? (Remember, CO2)

7.Under which head is the item 'locker rent' shown in Financial Statements of Banks? (Understand, CO3)

8. What is Slippage Ratio? (Remember, CO4)

9.What is Interim Bonus? (Remember, CO1)

10.Explain the term amalgamation adjustment reserve? (Understand, CO2)

11.Give Examples of Contingent Liabilities in Banks. (Understand, CO3)

12. How is 'Debt-Equity' Ratio calculated by Banks? (Understand, CO4)

13. Name the regulatory body of Insurance Companies in India. (Remember, CO1)

14. What is a short Loan? (Remember, CO3) (12 x 1=12)

Section B

Attempt any Four questions. Each question carries 7 marks.

15. Explain the applicability of Accounting Standards for Life Insurance Companies.(Understand,CO1)

16.The following Balance Sheet of Hard Luck Ltd as on 31.03.2025

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
14,000 Equity Shares of Rs 100 each fully paid up	14,00,000	Sundry Assets	18,00,000

General Reserve	10,000	Discount on Issue of Shares	10,000
10% Debentures	2,00,000	Preliminary expenses	30,000
Sundry Creditors	2,00,000	Profit and Loss A/c	60,000
Bank Overdraft	50,000		
Bills Payable	40,000		
	19,00,000		19,00,000

Success Ltd agreed to take over the business of Hard Luck Ltd. Calculate the Purchase consideration under Net Asset Method. Market Value of 75% of Sundry assets is estimated to be more than the book value and that of the remaining 25% at 8% less than the book value. The liabilities are taken over at book values. There is unrecorded liability of Rs 25,000. (Apply, CO2)

17. Following is an extract from the Trial Balance of a Bank as at 31st March, 2012:

Bills Discounted	Rs 51,50,000	
Rebate on bills discounted not yet due, April 1, 20XX		Rs 30,501
Discount Received		Rs 1,45,500

An analysis of the bills discounted as shown above shows the following:

Date of Bills	Amount (Rs)	Term Months	Discounted@ % p.a.
January 13	7,50,000	4	12
February 17	6,00,000	3	10
March 6	4,00,000	4	11
March 16	2,00,000	2	10

Find out the amount of discount received to be credited to Profit and Loss Account and pass appropriate journal entries for the same. (Apply, CO3)

18.Explain the components of 'CAMELS' Model. (Understand, CO4)

19.From the following information Calculate the Net Claim s to be shown in the Revenue Account for the year ended 31.03.2024.(Apply, CO1)

Particulars	Amount (in Rs.)
Claim paid for the year 2023-24	6,50,000
Claims intimated but not accepted and paid on 31.03.2024	50,000
Claims intimated and accepted but not paid on 31.03.2023	70,000
Legal Expenses regarding claims	30,000
Medical Expenses regarding Claims	10,000
Reinsurance Recoveries	20,000

20.From the following information Calculate the following ratios and Comment:
1) CRAR 2) Net NPA Ratio 3) Provision Coverage Ratio 4) Debt-Equity Ratio (Apply, CO4)

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
Tier I Capital	1,800	Gross Advances	30,000
Tier II Capital	400	Total Deposits	40,000
Risk Weighted Assets	16,000	Gross NPAS	1,200
Provisions	480	Current Deposit	4,000

Shareholder's Equity	3,000	Savings Deposit	8,000
Average Total Assets	44,000	Total Long-Term Debt	6,000

(4 x 7=28)

Section C

Attempt any Two questions. Each question carries 15 marks.

21.From the given Trial Balance of the Aviva Life Assurance Co. Ltd as on 31st March,2025:

Particulars	Amount (Rs)
Claims by Death	14,70,562
Claims by Maturity	76,980
Premium	56,420
Expenses of Management	19,890
Commission	26,541
Consideration for annuities granted	10,620
Interest, dividend and rent	52,461
Income tax paid on profits	3,060
Fines	92
Surrenders	21,860
Annuities	29,420
Bonus paid in cash	9,450
Bonus paid in reduction	2,500
Preliminary Expenses	600
Claims admitted but not paid at the end of the year	80,034
Annuities due but not paid	22,380
Share Capital	4,00,000
Government Securities	14,90,890
Sundry Assets	5,09,110

Prepare Revenue Account and the Balance Sheet after taking into account the following:

a. Claims covered under reinsurance, Rs 10,000 by death.
b. Further claims intimated, Rs 8,000 by death.
c. Further bonus utilised in reduction of premium, Rs 1,500.
d. Interested accrued Rs 15,400.
e. Premium outstanding Rs 7,400. (Apply, CO1)

22. The Balance Sheets of Z Ltd. and A Ltd. as on 31 / 03/ 2025 are given below:

Liabilities	Z Ltd.	A Ltd.	Assets	Z Ltd.	A Ltd.
Share Capital	3,00,000	5,00,000	Sundry assets	4,10,000	7,00,00
Reserves	40,000	1,00,000	Loan to A ltd	30,000	-
9% Debentures	1,00,000	-	Investments	50,000	-
Loan from Z ltd	-	30,000	(5000 shares of		
Creditors	50,000	70,000	A Ltd.)		
	4,90,000	7,00,000		4,90,000	7,00,000

A Ltd. proposes to take over Z Ltd. on the following terms:
(i) A Ltd. will issue one share at Rs. 11 and also pay Re. 0.50 in cash for every share held by the outsiders. (ii) 9% Debentures of Z Ltd. are to be paid at 8% premium by the issue of sufficient number of 10% Debentures of A Ltd. at Rs. 90.Assuming that the takeover has been completed, show journal entries in the books of both the companies and the draft Balance Sheet in the books of A Ltd. (Apply, CO2)

23. Following ledger balances of ABC Bank Ltd as on 31st March 20XX, are furnished to you. Prepare the Profit and Loss Account and Balance Sheet as per requirements of Law: -

	Rs in '000		Rs in '000
Statutory Reserve	1,200	Commission	45
Bad Debts written off	128	Cash	225
Operating Expenses	182	Interest Earned	550
Current account	20,245	Balance with RBI	2,030
Interest Paid	160	Balance with Foreign Bank	1,206
Deposit Accounts	6,920	Bills for Collection	1,500
Profit and Loss Account	229	Borrowings from Banks	6,482
Bills Receivables for customers	1,500	Cash Credit and Overdrafts	15,457
Discount	244	Investments	9,882
Endorsements and Guarantees	575	Bills discounted	6,228
Premises	2,217	Share capital	2,000

Following further information is furnished: -

a) Rebate on Bills Discounted to be provided Rs 64,000
b) The Bank had paid an interim dividend of Rs 2,00,000 during the year.

(Apply, CO3) (2 x 15 =30)